

Group Assignment 5: Event Study

At the end of the semester your group will need to produce a report and provide a quick presentation on an event involving your currency. In this assignment, you will start generating ideas for what event you want to focus on.

You will need to generate a list of 3 events (you can go as far back into the past as you want). For each event write one paragraph explaining what the event is and why you find it interesting. Also, for each event provide one journal/newspaper article or academic report that is related to your event.

What is an event? It is open to your interpretation but some examples

- (1) A prolonged period of appreciation or depreciation of the currency
- (2) A sudden shock to the exchange rate (currency crisis)
- (3) A decision to enter or exit a fixed exchange rate regime (or simply a debate about whether to enter or exit)
- (4) A decision to enter a currency union (or simply a debate about whether to enter)
- (5) A Central Bank policy that caused the exchange rate to change (or simply debate about what policy should be).
- (6) Some other interesting policy or shock that caused the exchange rate to change
- (7) A change to Central Bank independence from the government (or simply a debate about the degree of independence).

What is not an event?

Very little but your report/presentation needs to involve some economic analysis. So you might want to stay away from events where that will be difficult to analyze (i.e., changed design on coins, currency achieves “par” against the dollar, etc.). Feel free to ask me if you are not sure.

Where do I find journal/newspaper articles or reports about currency events?

I would suggest using the Miami Library search engine in addition to online searches. Miami subscribes to the main newspapers (NY Times and Wall Street Journal) – however they typically focus on US-events. So, I would also recommend searching the Economist and Financial Times which can have a more international focus.

Another main source would be the International Monetary Fund (IMF) that has country reports going back decades (go to the IMF elibrary).

Finally, feel free to use sources from the country itself (e.g., the Central Bank of each country often provides reports and/or research)